

FTK pitch deck

PITCH — FTK — VERDICT

PROPOSED — PENDING ADJUDICATION

Flotek Industries (NYSE: FTK) · last price \$24.70 (both benches; the machine pack's \$24.815 and the original briefs \$24.225 are both superseded) · 36,220,429 shares out · market value \$894.6M · enterprise value ~\$940M · no position held, no orders working.

What we believe

Flotek is an oilfield-chemistry and industrial-sensor company in Houston that spent the summer marketing a very large new business — a ten-year role supplying equipment and power to Puerto Rico's electric utility, PREPA, advertised at roughly \$40 million a year and a \$400 million ten-year backlog. On August 18–19 that contract was terminated outright. The stock fell about 20% in a day and sits 37.6% below its 52-week high.

Our two benches disagreed sharply, and after the argument the honest position is narrower than either started with:

- 1. The Puerto Rico contract was never worth what the stock lost.** Both benches independently ran the same arithmetic and agreed on it. Take the contract exactly as advertised, fully funded, and discount ten years of \$40M revenue at 12%: at a 20% margin it's worth \$45M, at 27% it's \$61M, at 35% it's \$79M. Then subtract what Flotek would have had to spend to earn it — roughly \$32M for 40MW of gas generation plus the equipment skids. Net value to shareholders: **\$14M to \$32M, or \$0.39 to \$0.88 a share** — between 1.6% and 3.6% of the share price. The selloff removed **\$385 million** of market value. That is roughly twelve times the entire prize, at any margin assumption.
- 2. Therefore the selloff is not about Puerto Rico.** It is about two other things: whether management can be trusted with the numbers it publishes, and whether the remaining business deserves the multiple it carries. Our red bench argued trust. Our blue bench dismantled that argument on the documents. What survives is the multiple — and a set of things nobody has verified.
- 3. The core business is genuinely improving, and the standard objection to it is weaker than it looks.** Flotek's largest customer, ProFrac, is also a major shareholder — a related party. The quarterly filing shows ProFrac at 63.8% of first-half revenue, which reads as “this company is a captive supplier.” But the same filing puts ProFrac at 56.5% of the *second* quarter, which implies about 74% in the first quarter. Revenue from everyone else went from \$18.1M to \$43.3M quarter over quarter, **+139%**. The dependence is falling fast, not defining the growth.

4. **But the growth is not as good as it looks either, and this is the finding that keeps us out.** Year over year — the comparison that strips out seasonality — revenue from customers other than ProFrac grew only +**23.8%** (\$49.6M to \$61.4M). Our red bench set a “≥30% external growth would change my mind” bar and then never ran the test. Our blue bench ran it against its own conclusion, and Flotek fails it.

Net: this is a price question, not an integrity question. The company is not ownable at 19.2× guided earnings with an unverified backlog and a live law-enforcement referral in its recent history — but it is not a fraud, and it becomes interesting well above zero.

What the market believes

The market currently believes something in between two loud stories.

The bear story, published on August 18 by Wolfpack Research — a firm that disclosed it was short the stock — is that Flotek announced a landmark contract it had no business announcing, from a role it received secondhand, with a balance sheet that could never have performed it. The stock had its worst day in over six years. Class-action law firms began soliciting shareholders on August 17, a day before the report.

The bull story is that a small company with real technology posted a record quarter (+70% revenue, +109% profit), guided to \$47–51M of adjusted earnings for the year, told investors the Puerto Rico deal was never in that guidance, and got punished \$385M for losing something worth \$32M.

At \$24.70 the market is pricing the bull story’s *earnings* and the bear story’s *doubt*: 19.2× the midpoint of guidance. That is not a distressed multiple. It is a normal multiple with the growth premium taken out. The market has not concluded fraud; it has concluded “prove it next quarter.”

One more thing about the market here: this is a \$895M company. A short report and class-action advertisements are attention, not analyst coverage. Neither bench could produce Wall Street’s own earnings estimates for 2026 or 2027 to compare against ours — so we genuinely do not know whether our view of the numbers differs from the consensus view, because we never found the consensus view.

Why we might have edge

- **The prize table is the edge, and it is arithmetic, not opinion.** Almost nobody who traded this stock on August 18–19 discounted the contract’s cash flows and subtracted the capital cost. If they had, they would have found an asset worth under a dollar a share driving a \$10.62 move. This is a repeatable check we can run on any “landmark contract lost” headline: value the thing that was lost before deciding what the loss means.
- **Reading customer concentration as a direction rather than a level.** The 63.8% figure is what a screen picks up and what the short report used. The quarter-by-quarter path (74% → 56.5%) says the opposite of the level. That inversion took backing out one quarter from a year-to-date disclosure — five minutes of arithmetic that flipped a “kill” into a “the growth is partly real.”

- **Symmetric bookkeeping on our own tests.** Our blue bench found the pro-company fact red missed (Flotek's \$400M press release was August 4; the counterparty's public repudiation was August 7 — Flotek cannot have known on the 4th what was said on the 7th), *and* the anti-company fact red missed (the +23.8% external growth failure, plus a law-enforcement referral). An argument that finds facts against its own side is worth more than one that doesn't.
- **A dated, cheap test is coming.** The November quarter will show, on the face of the filing, whether ProFrac is $\leq 55\%$ and whether external growth crossed 30%. We have written those thresholds down in advance. Most of the doubt in this stock resolves on one page of one filing.

Why it might be priced in

Stated plainly, because these are strong:

- **The concentration argument is not novel.** ProFrac's dominance has been disclosed in every filing since 2022 and is prominent in the published short report. We are not seeing something hidden; we're reading a public disclosure more carefully than a screen does. That earns nuance, not an information advantage.
- **19.2× is not a dislocated price.** Enterprise value \$940M against \$49M of guided adjusted earnings. Even after a 37.6% drawdown, the stock is still **+125.6% above its 52-week low** — this is a giveback inside a stock that has more than doubled, not a washout.
- **The stock is crowded and contested, not neglected.** Active short position, published bear thesis, class-action solicitations. Our red bench correctly used this to argue for smaller size and later timing rather than as a reason to reject — but it means our reading is being argued against in public by people with money on it.
- **We could not verify the one number that decides the upside.** How much backlog is left after Puerto Rico? The original brief said “~\$100M” with no source anyone could find. The only competing figure (57% of backlog was PREPA, implying ~\$300M residual) comes from the short seller. **Neither bench could source this from a primary document.** Buying the “remaining business” thesis means buying a number that currently exists only in a short report and an unsourced note.
- **There is a live law-enforcement referral.** Puerto Rico's Oversight Board referred the contract to law enforcement. Flotek is not the named contract party, but it marketed the deal chain. That is an open-ended risk with no price attached to it.

What we checked ourselves

Including, explicitly, where our own analysis was wrong.

Claim	How checked	Found	Confirmed?
Market value $\approx$ \$1.038B (machine evidence pack and the original brief)	10-Q cover page, share count as of 2026-08-03	36,220,429 shares $\times$ \$24.70 = \$894.6M . The pack was wrong by ~16%.	✗ Our own data pack was wrong — both benches

Claim	How checked	Found	Confirmed? independently corrected it
Historical revenue / share count from our XBRL feed	Inspection against the filings	Feed unusable: revenue series stops in 2022; share count shows a 169.5M → 30.7M jump that is a data artifact, not a reverse split event we'd modeled. All numbers below were re-pulled from the actual 10-Q.	✗ Our own feed was wrong
Price \$24.225 (original brief)	Live broker quote	\$24.70 (pack said \$24.815; benches standardized on \$24.70). Brief was stale.	✗ Our own brief was stale
"The August 18 drop was PREPA halting then terminating the contract" (original brief)	Flotek's own 8/18 press release + filing sequence	The release says a short seller published a report that day. Termination landed 8/19 — the day after the drop. The brief's causal story was backwards.	✗ Our own brief was wrong
"The drop was purely a short-report event" (red bench's correction)	Oversight Board's own public release (8/14); the 8-K's stated earliest event (8/17 stop-work directive); a law-firm solicitation dated 8/17	It was a chain, not one event: public revocation Fri 8/14 → stop-work Mon 8/17 → short report Tue 8/18.	⚠ Red over-corrected. And blue could not pull the 8/14–8/18 daily price bars (broker lookup was permission-denied), so the day-by-day attribution is inferred, not measured. Red asserted it without bars either.
"Management hid the bad news for four days — an integrity problem" (red bench's strongest kill)	Oversight Board release was public on 8/14; the counterparty's repudiation was a public statement on 8/7; Flotek's own contractual trigger (stop-work) was 8/17; 8-K filed 8/18	Nothing was withheld that the market didn't already have. Filed one business day after its own trigger.	✗ Red's central argument was overturned. Residual and real: the <i>public</i> facts sat unaddressed from 8/7 to 8/18 — eleven days. That's slow, not concealment.
"The growth is 64% related-party — captive revenue" (red bench)	Same 10-Q, quarterly rather than year-to-date	63.8% year-to-date but 56.5% in Q2 , implying ~74% in Q1. External revenue +139% quarter over quarter.	✗ Red's inference was inverted by the underlying data. The trend runs the other way.
"Flotek couldn't have performed — \$11M of liquidity" (red bench)	10-Q balance sheet vs. the 8/19 termination notice	Liquidity confirmed: \$4.4M cash + \$6.6M available = \$11.0M . But the termination blames " the consortium's " failure to post security, the filings say ~90% of the project's capacity was third-party-provided, and the Oversight Board's own release names a <i>different</i> company as the counterparty. Flotek also did raise ~\$40M of project-specific paper.	⚠ Liquidity figure ✓ / the causal blame on Flotek ✗
"Ex-ProFrac growth ≥30% would change my	1H25 \$49.6M → 1H26 \$61.4M	+23.8% — fails red's own bar.	✓ Red set the test and never ran it; blue

Claim	How checked	Found	Confirmed?
mind” (red bench’s own stated test)			ran it, against its own side
Valuation 18.4–20.0× guided earnings	EV \$940M ÷ \$47–51M guide	19.2× at the midpoint.	✅ Confirmed
Puerto Rico contract’s actual value to shareholders	Discounted cash flow at 12%, three margin cases, minus capital cost	\$14–32M net, \$0.39–0.88/share. No margin assumption gets it near the \$385M the tape removed.	✅ Confirmed by both benches; red stated it even though it cut against red’s own case
Remaining backlog after Puerto Rico	Attempted to source from filings	Brief’s “~\$100M” is unsourced. Red’s “~\$300M” is the short seller’s estimate.	❌ Unverified by anyone
Was the deployment ever underway?	Flotek’s own 8/19 filing	“The Company... had not commenced deployment of equipment ” and received no revenue or payments. No satellite check needed — the company said it.	✅ Confirmed from primary source
Physical evidence behind the chemistry and sensor ramp	<i>Not run.</i> Thermal imagery of the Marlow, OK plant and Austin, TX permit records were both flagged as available and neither was pulled.	Nothing.	❌ Gap we created ourselves — this is the single best independent test of whether the +139% external revenue jump is physically real, and we skipped it

Primary sources relied on: [8-K filed 2026-08-18](#) · [Flotek press release 8/18](#) · [10-Q for Q2 2026](#) · [Puerto Rico Oversight Board revocation release, 8/14](#)

PROPOSED ENTRY BANDS

Both benches concluded: no entry today. No starter, no partial, nothing. The blocking reason is not price — it’s that the size of the remaining business cannot be verified before the next earnings report. So what follows are reopen conditions, not orders.

Do not buy at \$24.70. At 19.2× guided earnings, with external growth at +23.8% against a 30% bar and the residual backlog unsourced, there is nothing to pay up for.

Reopen band — the price test

- **\$15.00 or below.** This is the bench’s number and here is its arithmetic: $\$15.00 \times 36.22\text{M shares} = \543M of equity, plus \$45.6M of net debt = **\$588M enterprise value**, or **12× the \$49M midpoint of guidance**. At that level you are paying a normal price for the existing chemistry and sensor business and getting every power-related option for free. That is a 39% decline from here.
- *Watch level, clearly labeled as our interpolation and not a bench number:* **\$19.03** is what 15× the guidance midpoint works out to (EV \$735M). No bench endorsed buying there. Treat it as a

“look again” alert only.

Reopen band — the evidence tests

1. An 8-K or 10-Q that **names the non-PREPA power customers**, states contract values, and confirms performance security is actually posted — third parties, not ProFrac. This is the direct answer to the unsourced-backlog hole.
2. The **Q3 report** showing **ProFrac at or below 55% of revenue and non-ProFrac revenue growing at or above 30% year over year**. Both, not either.
3. Price at or below **\$15.00**.

The rule: any two of those three, then a 0.5% starter position — and not before. All three would justify revisiting size upward; one alone justifies nothing.

What would make us walk away permanently rather than wait: an equity raise into an \$11M liquidity position (dilution on top of everything else), a restatement or audit-committee inquiry, or any development that names Flotek itself in the Puerto Rico law-enforcement referral.

Catalyst dates

- **2026-11-03 — expected Q3 earnings.** This is **not confirmed**. It comes from a third-party data feed, not from a company announcement. Roughly 50 trading days out. Confirming this date with a company press release is itself a task on the list below.
- No other dated catalyst exists. The Oversight Board action (8/14), the stop-work order (8/17), the short report (8/18) and the termination (8/19) have all already happened. The law-enforcement referral has **no known timetable** — it can surface on any day, unannounced. That asymmetry is a reason not to hold this stock casually while waiting.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 19.03 (deck-provisional: WATCH ONLY, analyst interpolation not a bench number: 15x guide mid -> EV \$735M; alert to re-read, no)
- filing watch: 8-K,10-Q until 2027-02-17 (deck-provisional: Names ex-PREPA power counterparties with contract values AND performance security posted, third-party)
- dated pack FTK|2026-11-03: FTK: Expected Q3 2026 earnings – the single filing that resolves ProFrac concentration and ex-ProFrac growth; vendor-derived date, no compa

What remains unverified

Stated flatly, because several of these are load-bearing:

1. **How much backlog remains after Puerto Rico.** The brief's ~\$100M has no source. The alternative ~\$300M is a short seller's estimate. Neither bench could find a primary figure. **This is**

the number the entire remaining-business thesis rests on, and we do not have it.

2. **What actually caused the August 18 selloff.** We could not retrieve the daily price bars for August 14–18 (broker data lookup was denied that session). The chain — regulator release, stop-work, short report — is inferred from a law firm’s solicitation date, not measured off the tape. Both benches asserted causal stories without the bars.
3. **Whether the November 3 earnings date is real.** Vendor-derived, not company-confirmed.
4. **Whether the chemistry and sensor ramp is physically real.** No thermal imagery, no permit records, no independent physical evidence. We are taking a +139% quarterly jump in external revenue on the company’s word.
5. **What Wall Street actually expects.** Neither bench produced consensus earnings estimates. We cannot say whether our view differs from the market’s, because we never established the market’s view in numbers.
6. **Where the law-enforcement referral goes.** Live, undated, and Flotek marketed the deal chain it concerns.
7. **Whether Flotek did any counterparty diligence before the August 4 announcement.** We established it *could not* have known about the August 7 repudiation on August 4 — that charge is defeated on timing. We did **not** establish that it verified the standing of the party whose contractual role it took over. Unanswered, in both directions.
8. **The classification of the underlying pattern.** Two things happened here that our detector library has no coverage for at all: booking backlog from a contractual role received by assignment rather than won directly, and issuer response time to a *public* third-party repudiation. Both benches reported this as a coverage gap rather than papering over it. Neither has been built.

Confidence: the bear bench held its kill case at 8/10; the blue bench held its overturn at 7/10, discounting explicitly for the missing price bars and the unsourced backlog. Neither reached the confidence that justifies capital. That is why this is a watch, not a buy.

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